

The complaint

Mr and Mrs G complain that AXA Insurance UK Plc has declined their claim following problems with the electrics in their kitchen.

What happened

Mr and Mrs G had a home insurance policy with AXA. In 2018 there was an escape of water from a mains hot water pipe in the downstairs bathroom. They made a claim on the insurance.

AXA accepted the claim and carried out drying and repair work. This was completed in September 2018.

In May 2019 Mr G contacted AXA again as he had been experiencing problems with the electricity tripping in the kitchen. He said this was due to damage to the consumer unit from the original escape of water. He made a claim on the insurance.

AXA declined the claim. It said that there wasn't enough evidence to show that the problems with the electrics in the kitchen had been caused by the escape of water. It sent out a contractor who said the problem was with a dead short in the circuit which is a maintenance issue and wouldn't be caused by water. Further AXA said that if the electrics had been affected by the escape of water, this would have caused a problem closer to the time. However, it said if Mr and Mrs G provided a report from an electrician that said the problem was due to water damage, it would reconsider.

Mr and Mrs G didn't accept this. They said they had provided proof from their electrician that there were problems with the electrics caused by the escape of water that weren't rectified, but AXA had ignored this. They brought their complaint to this service.

Our investigator considered all the issues but didn't recommend the complaint be upheld. She said the report Mr and Mrs G provided from their electrician was just a list of works required and didn't say the problems were caused by water.

Mr and Mrs G didn't agree. They said that as the escape of water was from a hot water pipe, steam had been released and travelled further up the walls, and all over the ground floor. This meant it had affected the consumer unit and the electrics in the kitchen. They asked for the complaint to be reviewed by an ombudsman.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

AXA has declined Mr and Mrs G's claim for problems with their kitchen electrics as it says they aren't related to the original claim. It says that they were caused by a maintenance problem and therefore wouldn't be covered under the policy.

The policy provides cover for damage caused by an insured peril. In this case Mr and Mrs G say the insured peril is the escape of water. However, if this wasn't the cause of the electrics failing, and it was a maintenance problem, there would be no insured peril so I agree that cover wouldn't apply.

Mr and Mrs G and AXA disagree about the cause of the problem and have both provided evidence to support their cases. I need to decide, based on the evidence, what is most likely to have caused the problem. And therefore, whether AXA has treated Mr and Mrs G fairly by declining their claim.

Mr and Mrs G say that the escape of water caused extensive damage to the cupboard where the consumer unit is. And this controls the electrics in the kitchen, so water damage to this, and under floor wires in the cupboard, has caused the kitchen electrics to trip. They have provided a video that shows the damage that was caused to the room. From looking at this, I agree the damage was extensive and the water damage could have affected the consumer unit. Further, AXA hasn't disputed that the consumer unit was water damaged. What they dispute is the cause of the electrical failure.

When Mr and Mrs G raised the claim for the electrics AXA sent out an engineer to inspect the damage. Although Mr and Mrs G did call out an engineer, they have only provided a report from an engineer that was carried out in 2018. And not one from an expert who has inspected the new damage. So in deciding what the cause of the damage is, I have considered AXA's report as I find it more persuasive. I've explained my reasons below.

AXA's engineer tested the electrics and found that one ring of the electrics had suffered a dead short. The engineer commented as follows:

'On various testing it was found that one leg of the ring has a dead short on it and the other leg seems to be okay...The fact that the fault is now a dead short would indicate a mechanical break in the cable and not necessarily anything to do with water as water does not break cables. It could be worth asking if any building work has been done in the recent months after Harcross had finished their works.'

A dead short is a problem with the circuit that causes the consumer unit to trip. A problem involving a dead short would therefore indicate the problem is with the circuit itself and not the consumer unit. The problem itself is causing the unit to trip – not the other way around. So to determine the cause of the problem, I need to consider the circuit itself rather than any damage to the consumer unit.

From looking at the work that was carried out following the initial escape of water, I can see that the kitchen was barely affected – the only minor damage was aesthetic only. This is because the kitchen was newly built and the electricity was on a different ring to the rest of the building.

So considering the fault with the electrics seems to have been caused to the kitchen circuit itself and I've seen no evidence that this was damaged by the escape of water, it seems unlikely that the escape of water was the cause of the electrics failing in the kitchen.

AXA's engineer also concluded that there had most likely been a break in the circuit. This engineer said this is not something that could have been caused by water. As the engineer is an expert and I've seen no evidence to contradict this, I am persuaded that the cause of the failure of the electrics was a dead short and this is unlikely to have been caused by water damage.

Further AXA has commented that if the escape of water had been the cause, it would have had an impact earlier than seven months after the original event. And considering the impact water would have on electrics, I agree it would be unlikely for wires that come into contact with water to take seven months to experience problems.

Mr and Mrs G have provided a report from 2018 that they say was carried out just after the original escape of water. This includes suggesting work needs to be carried out on the consumer unit. However as the damage appears to have been to the circuit and not the unit, I don't consider this report to be relevant to my findings.

So for all these reasons I think it is most likely that the failure of Mr and Mrs G's kitchen electrics wasn't caused by the original escape of water, but instead by a maintenance problem. I therefore think AXA has treated them fairly by declining their claim. And I won't ask AXA to do anything differently.

My final decision

For the reasons I have given, I don't require AXA Insurance UK Plc to do anything differently.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr G and Mrs G to accept or reject my decision before 29 July 2020.

Sophie Goodyear
Ombudsman